

Chapter 6. Portfolio Policy for the Enterprising Investor: Negative Approach

1. In 1970 the Milwaukee road reported a large deficit. It suspended interest payments on its income bonds, and the price of the 5% issue fell to 10.

2. For example: Cities Service \$6 first preferred, not paying dividends, sold at as low as 15 in 1937 and at 27 in 1943, when the accumulations had reached \$60 per share. In 1947 it was retired by exchange for \$196.50 of 3% debentures for each share, and it sold as high as 186.

3. An elaborate statistical study carried on under the direction of the National Bureau of Economic Research indicates that such has actually been the case. Graham is referring to W. Braddock Hickman, *Corporate Bond Quality and Investor Experience* (Princeton University Press, 1958). Hickman's book later inspired Michael Milken of Drexel Burnham Lambert to offer massive high-yield financing to companies with less than sterling credit ratings, helping to ignite the leveraged buyout and hostile takeover craze of the late 1980s.

4. A representative sample of 41 such issues taken from Standard & Poor's shows that five lost 90% or more of their high price, 30 lost more than half, and the entire group about two-thirds. The many not listed in the undoubtedly had a larger shrinkage on the whole.